Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
AND

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Charles F. Willard

September 18, 2019

I. Introduction

Q. Please state your name and business address.

A. My name is Charles F. Willard. My business address is 300 Erie Boulevard West, Syracuse, New York 13202.

Q. Are you the same Charles F. Willard who previously filed direct testimony in these proceedings?

A. Yes. The terms defined in my direct testimony have the same definitions here.

Q. Mr. Willard, what is the purpose of your rebuttal testimony?

A. I am responding to testimony from the Department of Public Service Staff ("Staff") Site Investigation and Remediation ("SIR") Panel recommending downward adjustments to the Companies' proposed rate allowances for SIR programs, and testimony from the Public Utility Law Project ("PULP) witness William Yates regarding impacts to customers in the vicinity of certain clean-up sites.

Q. Do you agree with the Staff SIR Panel's recommendation (at 29) to reduce KEDNY and KEDLI's Rate Year forecast of SIR expense by

$15.168 million and $1.734 million, respectively?

A. Not entirely. The Companies acknowledge that SIR work schedules are subject to a high degree of uncertainty and reflected this variability in the SIR forecasts. As described in my direct testimony, the Companies took into account the status of each site and potential delays to determine projected work on a site-by-site basis. As part of this evaluation, the Companies reviewed the last six years of historic spend and adjusted the forecast for KEDNY based on that historical underspend. In addition, the latest available information indicates that key elements driving the Companies' respective forecasts, including increased investigation and remediation activities at a number of active SIR sites, are still anticipated to occur. Therefore, the Companies believe that their forecasts, which are based on an extensive review of SIR activities at each individual MGP and Superfund site, are the best indicator of SIR Program spend in the Rate Year.

Q. Mr. Willard, please summarize key elements driving the Rate Year forecast for KEDNY.

A. For KEDNY, the main drivers for Rate Year expenditures are investigation and remediation activities at the Fulton, Citizens, Metropolitan and Greenpoint sites along with related SIR program

spending, including insurance recovery efforts. Work at the Citizens, Fulton, and Metropolitan sites is performed on a schedule that is being coordinated by the EPA. Since my direct testimony was filed, construction contracts have been issued for construction of barrier walls at the Citizens and Fulton sites, and for soil remediation at the Citizens site. Field work associated with both contracts has begun and is expected to extend into the Rate Year as originally anticipated. Discussions with property owners regarding the remediation at the Metropolitan site has commenced, which could facilitate an increase in work at that site. Further, KEDNY's insurance recovery litigation trial has been scheduled for the Fall of 2020, during the Rate Year, which will drive legal and expert expenses associated with trial preparation during the Rate Year.

Q. Mr. Willard, please summarize key elements driving the Rate Year forecast for KEDLI.

A. For KEDLI, the main drivers for Rate Year expenditures are activities at the Bay Shore, Babylon, Belle Harbor, and Patchogue sites. The Bay Shore site is in the operation, maintenance, and monitoring phase with predictable spends, and KEDLI has recently obtained access to the Babylon site, with pre-design investigations planned for Fall 2019. Further, the Patchogue site is currently in the remediation construction

phase at this time, so the work projected for the Rate Year for this site is unlikely to be delayed or impacted.

Q. Do you believe that the Staff SIR Panel's proposed adjustments are necessary to more closely align rate recovery with project spending?

A. No. Based on latest available information, the Companies believe that key work activities driving the Companies' forecast of SIR expenditures during the Rate Year will occur, and thus, the Companies proposed rate allowances should be used in favor of the Staff SIR Panel's proposed alternatives.

Q. Do you agree with Mr. Yates assertions (at 22-23) regarding recovery of clean-up costs from customers who live in the vicinity of superfund sites based on assertions that the impacts on such customers are only negative?

A. No. Mr. Yates' asserts (at 22) that it is against the public interest to expect customers who live in the vicinity of superfund sites to pay for the costs to clean-up these sites. Mr. Yates suggests (at 22-23) that these efforts bear only negative impacts for such customers. In the Order in the 2016 KEDNY and KEDLI Rate Cases, the Commission noted that utilities are required by law to incur SIR expenses and they should "therefore be

treated as normal costs of doing business in today's society" (at 83-84). Mr. Yates' assertions ignore the fact that the Companies' efforts to clean up these sites benefit both the sites and the surrounding communities. The Companies' efforts not only remedy historical impacts, but also enable various projects with substantial benefits for customers in the vicinity of such sites, such as the creation and/or improvement of public parks and support for brownfield redevelopment. For these reasons, Mr. Yates' assertions should be rejected.

Q. Does this conclude your testimony?

A. Yes.